DIGITAL POWER NETWORK

November 20, 2025

RE: Department of Energy proposed Advance Notice of Proposed Rulemaking (ANOPR) under Section 403 of the Department of Energy Organization Act for consideration and final action by FERC, Interconnection of Large Loads to the Interstate Transmission System, Notice Granting Extension of Time, Docket No. RM26-4-000 (issued Nov. 7, 2025).

Submitted By: Hailey Miller, Digital Power Network, An Affiliate of The Digital Chamber

The Digital Power Network (DPN) is the largest coalition of Bitcoin miners and digital infrastructure leaders in the United States, representing over 85% of domestic Bitcoin hash rate. DPN advocates for policies that promote energy innovation, grid resilience, economic development, and the strategic role of digital assets in the 21st-century economy.

DPN appreciates the opportunity to provide information on Docket No. RM26-4-000 regarding accelerating the permitting for flexible digital infrastructure. As large load demand rises and interconnection queues are constrained, FERC's support for expediting the integration of flexible loads is critical to bolster the nation's power systems.

Section V. Principles for Reform:

18. First, to avoid even arguably affecting the States' jurisdiction over generation facilities, facilities used in local distribution or only for the transmission of electric energy in intrastate commerce, or transmissions consumed by the transmitter, the Commission's jurisdiction should be limited to interconnections directly to transmission facilities, consistent with the Commission's seven-factor test.

The letter cites DOE authority that could be challenged, especially if rulemaking lacks clear statutory grounding. A deeper legal analysis is needed to assess the strength of DOE's position. The National Association of Regulatory Utility Commissioners (NARUC) passed a resolution urging *FERC* to resist the Department of Energy's push to give itself jurisdiction over large loads interconnecting with the grid — an authority historically belonging to state regulators.[1] The NARUC resolution signals that state regulators nationwide are opposed to the Department of Energy's effort to enable FERC to supplant states' authority over large load interconnections. This could lead to extended legal battles over jurisdictional issues and could further add to the interconnection timelines for large loads and there is a risk of seeing more data center tariffs nationwide.

[1] https://pubs.naruc.org/pub/2C526A94-D533-BE0A-336A-178A366C7A91

19. Second, consistent with the Commission's *pro forma* LGIP and LGIA, the reforms should only apply to new loads greater than 20 MW and, for hybrid facilities, where the load is greater than 20 MW. We seek comment on alternative thresholds, including whether such a threshold is necessary at all.

While, in most cases, 20 MW is an adequate baseline threshold for this rule, in certain cases, it should expand to facilities below 20 MW given that hydro facilities can often fall under this capacity limit. By still setting the threshold at 20 MW but allowing exceptions for certain smaller facilities, it will give developers the opportunity to start-up, operate, and then expand.

20. Third, to the extent practicable, load and hybrid facilities should be studied together with generating facilities. Such an approach will allow for efficient siting of loads and generating facilities and thereby minimize the need for costly network upgrades. For example, siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.

This point is clearly supported by what's already occurring with AI companies investing to re-energize idled capacity (e.g., nuclear sites) and locating data centers close-by. Load studies do not need to be reviewed in a vacuum like they are now.

21. Fourth, like generating facilities, load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties. These provisions deter speculative projects and provide transmission providers with more useful information to more accurately forecast demand on their systems. We seek comment on the extent to which the existing study deposits, readiness requirements, and withdrawal penalties can be adopted. We also seek comment on whether additional commitments or financial penalties would be appropriate.
Study deposits would assist in solving the problem of entities flooding utilities with requests for load. Utilities are not capable of deciphering real market participants or developers fishing projects to others.

The deposit needs to be non-trivial, somewhat of a deterrent but not excessive. For example, in 2025, Texas enacted SB 6 which includes standards that "must set a flat study fee of at least $100,000 to be paid to the interconnecting electric utility or municipally owned utility for initial transmission screening studies for large loads" (§ 37.0561(f)). Given that data centers are not subject to paying these deposits now, these payments should be credited back over the first year of the contract. This method provides clarity to the utilities and financial stability to the developers.

22. Fifth, hybrid facilities should be studied based on the amount of injection and / or withdrawal rights requested. For example, a hybrid facility consisting of a 500 MW load

and a 600 MW generating facility may seek no withdrawal rights and 100MW of injection rights. This provides incentives for co-location with new generation facilities and ensures efficient buildout of the transmission system.

Hybrid facilities need to have the ability for future revisions to their injection and / or withdrawal rights as the transmission system capacity increases / improves. This way a hybrid facility has future growth opportunity in either direction — injection / withdrawal.

23. Sixth, any hybrid interconnection shall be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights. We seek comment on whether other operational limitations should be considered. We also seek comment on the minimum technical requirements for such system protection facilities, whether a hybrid interconnection customer should be subject to penalties for unauthorized injections or withdrawals, how any such penalties should be designed, and how such penalties should be allocated to other transmission customers.

Hybrid facilities are already required to control their load profile. Typically, any non-compliance will involve penalties. This is what occurs in TVA for loads that are supposed to be strictly off-peak but happen to operate during the peak hours — results in a stiff penalty charge.

A buffer percentage to the high side of the submitted load would help too because the facility is paying for the load submitted regardless of whether it is utilized. If the facility cannot operate up to the submitted load, then the hybrid facility incurs additional cost due to not being able to monetize the load by staying under the cap (load submitted).

When energy generation or data centers are seeking to interconnect to the bulk power system, they are subject to deliverability studies, adding additional time to the interconnection process. However, if a new classification of non-firm loads and backup generation is to be established through this ruling, then these loads should be excluded from the deliverability study requirement as this studies intention is to ensure connection to the grid is firm.

Additionally, with this new classification of load types, FERC should also require that flexible loads have non-firm withdrawal rights, ensuring that excess load on the grid can be monetized during period of low demand if there is a demand from non-firm data centers to consume additional power.

24. Seventh, the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited. The system operator's ability to control such facilities through curtailment and / or dispatch must be sufficient for the system operator to integrate the facility into both operations

and system planning. This ensures the timely and orderly addition of large loads to the transmission system in a safe, reliable, and non-discriminatory manner. We seek comment on whether this should be accomplished through a serial interconnection study process or by some other means. We also seek comment on appropriate deadlines for such an expedited study process, including whether such studies can be completed in 60 days.

This reform is essential. There also needs to be an even higher priority for company submissions that have proven their ability to curtail / dispatched at their facilities vs. new entries.

25. Eighth, load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies. We seek comment on whether such costs should be offset through a crediting mechanism and, if so, over how many years.

This is already being done, but the upgrade costs need to be credited back to the facility over the course the power purchase agreement (PPA) length. The maximum duration for issuing the credit should be 50% of the PPA length. The only concern is who owns the infrastructure during the period to claim potential tax credits or other incentives that may attribute to the upgrades.

26. Ninth, to the extent the interconnection customer is not the transmission owner, the interconnection customer shall be afforded the same (or equivalent) option to build as currently provided to generator interconnection customers.

This prevents the transmission owner from having a monopoly on construction that could delay projects or raise costs. It aligns rights across different types of interconnection customers so everyone has a viable path to get facilities built on time, so long as reliability and standards are met.

27. Tenth, an existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource (SSR) / reliability must run (RMR) type study. The study must consider system conditions, including forecasted load growth, at least three years after the proposed suspension date. The partial suspension can only proceed after any network upgrades needed to ensure reliability are placed into service. Any such network upgrades shall be the responsibility of the generating facility. We invite comments on whether and how resource adequacy should be considered in the SSR / RMR type study.

No comment.

28. Eleventh, utilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that is being transmitted across the transmission system to the load.

No comment.

29. Twelfth, utilities serving large loads, including those at hybrid facilities, should be responsible for ancillary services based on peak demand, without consideration of any co-located generation. Any co-located generating facilities will similarly be fully compensated for the provision of ancillary services.

Utilities should be responsible and pass through the services with zero fees or mark-ups; however, there should be an option for the hybrid facility to take on the responsibilities for ancillary services. The option covers the point of utilities not being well positioned or have the knowledge to implement such services without the hybrid facility taking on the cost burden that the utility will attempt to (and will) pass on.

30. Thirteenth, there must be a plan to implement these proposed reforms. We seek comment on appropriate transition plans, including the treatment of large load interconnections that are already being studied for interconnection.

For large loads already undergoing the study process, if their current process will take more than 60 days, they should be given the option to opt into the expedited interconnection study queue as first in line. To ensure proper deployment and communication with the system operators and utilities, FERC must draft a plan outlining the rollout logistics and clarifying the authority of each entity.

31. Fourteenth, utilities serving large loads must meet all applicable NERC reliability standards and OATT provisions. Utilities and we must be prepared to revise large load interconnection procedures and agreements, as necessary. NERC should review its reliability standards to determine if new registration categories or new or modified reliability standards are required to ensure reliability of the BES.

NERC should have a flexible load category. Reliability standards should emphasize grid resilience on the supply side and be transparent, achievable, market-based solutions on the demand side.

NERC may impose stricter reliability standards on large loads, especially if flexibility is not adequately demonstrated, increasing compliance burdens. Conversations at these forums are already focusing on how to slow down the interconnection of data centers to match more the speed of infrastructure construction and generation buildout, instead of brainstorming creative ways to speed up these process to the extent they can.

32. This proposal is not intended in any way to discourage public utilities from making filings to address these and similar issues under FPA section 205.

No comment.

Additional Comments

Slow Rule-to-Filing Process

Grid operator filings in response to DOE or FERC rules can take significant time. Any rule must be time-bound and specific to avoid delays in implementation. I.e. ISO/RTOs were making compliance filing on FERC order 2023 as late as May of 2025 and it is compliance with order is expected as late as 2026-2027.

State-Level Pushback

States may respond with stricter interconnection requirements or new tariffs targeting data centers and large flexible loads, potentially complicating deployment. As seen with the NARUC letter

Transmission Owner (TO) Resistance

If rules require compliance filings, TOs may oppose unless stakeholder approval is mandated. This could slow or dilute rule effectiveness. Further, there should be fines imposed or some accountability mechanism for TO's and TSPs to complete the studies and their part of the process on time. Delay's caused by TO's is one of the biggest slower of things and could add great gains in time if compliance from them can be ensured by fines etc. At present, they work on good faith and no accountability model.

Next Steps:

1. There must be a clear pathway to interconnect non-firm, flexible large load- SPP is already considering a process called PALS so examples exists.
2. Expand coordination with NERC and reliability entities to ensure transparent, achievable performance criteria for fast-acting interruptible load.
3. Modernize cost allocation rules and utility cost recovery.
4. More education around how flexible large load and support the grid and have avenues that allow flexible large load customers like bitcoin miners to work directly with utilities and in the wholesale market. There could be significant financial uplift from reduced O&M spend, reduced transmission development, and uplift on energy

revenues by adding BTC mining into the reliability paradigm of the utility and/or independent BA. if DOE were to back this through analysis related to resource planning, it would be very substantial to advancing cause for bitcoin mining.